GST SAHAYAK SYNTHETIC TEST DOCUMENT - DEMAND NOTICE UNDER SECTION 73 OF CGST ACT 2017

Reference No: SYN-GST-2026-DEMAND-009 | Date: 21-August-2026 | Location: Mumbai Audit Zone

Taxpayer Name: M/s Synthetic Retailers Private Limited | GSTIN: 27AAACS0000A1Z5 | Period: 2025-2026

Paragraph 1: Whereas upon detailed scrutiny of the returns filed under section 39 of the Central Goods and Services Tax Act 2017 (hereinafter) Tj 0 -16 Td (referred to as the CGS it has been observed from the data analytics portal that Input Tax Credit (ITC) amounting to INR 2,50,000 has been claimed in Table 4A(5) of Form GSTR-3B in excess of the eligible credit reflected in Form GSTR-2B generated under Rule 60(7) of the CGST Rules 2017.

Paragraph 2: Section 16(2)(aa) of the CGST Act explicitly mandates that no registered person shall be entitled to the credit of any input tax in respect of any supply of goods or services or both unless the details of the invoice or debit note in respect of such supply has been furnished by the supplier in the statement of outward supplies in Form GSTR-1 and such details have been communicated to the recipient of such supply in the manner specified under section 37.

Paragraph 3: Consequently, the excess Input Tax Credit claimed in Table 4A(5) of Form GSTR-3B stands disallowed under section 73(1) of the CGST Act. The taxpayer is hereby called upon to show cause why tax amounting to INR 2,50,000 together with applicable interest under section 50 and penalty under section 73(9) of the CGST Act should not be demanded and recovered from them.

Paragraph 4: Summary Breakdown of Ineligible Credit:

1. Invoices not reflecting in GSTR-2B: CGST INR 1,25,000 | SGST INR 1,25,000 | Total INR 2,50,000.

2. Ineligible credit under Section 17(5) blocked credits: CGST INR 0 | SGST INR 0 | Total INR 0.

Failure to submit a written explanation along with documentary evidence within thirty days of receipt of this notice shall result in ex-parte determination of tax liability under section 73(9).

GST SAHAYAK SYNTHETIC TEST DOCUMENT - PAGE 2 STATUTORY PROVISIONS AND RECOVERY PROCEDURES

Reference No: SYN-GST-2026-DEMAND-009 | Date: 21-August-2026 | Location: Mumbai Audit Zone

Paragraph 5: Section 50(1) prescribes that every person who is liable to pay tax in accordance with the provisions of this Act or the rules made thereunder but fails to pay the tax to the Government within the period prescribed shall for the period for which the tax remains unpaid pay interest at such rate not exceeding eighteen percent per annum as may be notified by the Government on the recommendations of the GST Council.

Paragraph 6: Under section 73(8) where any person chargeable with tax under sub-section (1) pays the tax along with interest payable under section 50 within thirty days of issue of show cause notice no penalty shall be payable and all proceedings in respect of the said notice shall be deemed to be concluded without any further legal action.

Paragraph 7: Payment Methodology: Taxpayer may deposit the demanded tax amount along with applicable interest through Form GST DRC-03 utilizing electronic cash ledger or electronic credit ledger in accordance with Rule 87 of CGST Rules 2017.

Paragraph 8: Submission of Reply and Hearing: Written reply in Form GST DRC-06 along with supporting invoices, supplier confirmations, and reconciliation statement must be uploaded on the GST common portal within thirty calendar days from the date of receipt of this notice. If personal hearing is desired, the taxpayer must explicitly request the same in Form GST DRC-06.